25CMUD01035 25CMUD01035

County: los-angeles

Division: Civil Law and Motion

Department: E

Hearing date: 2026-07-20

Motion: MOTION FOR ATTORNEY FEES DATE: July 20, 2026 TIME: 8:30 A.M.

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=COM%2CE%2C07%2F20%2F2026

Source SHA-256: a13f31bed1c797dcc99e629bab02cc882b54a3bfa6d85bcf64d5684ca1f7390c

Case Number: 25CMUD01035 Hearing Date: July 20, 2026 Dept: E

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES – SOUTH CENTRAL
DISTRICT

BUSINESS
PURPOSE FUNDING, INC.,

Plaintiff,

vs.

FLOR ANTONIO; GLORIA
ANGELICA URIZAR, IGNACIO SANCHEZ, DOES 1 TO 10; ET AL.,

Defendants.

)

)

)

)

)

)

)

)

)

)

)

CASE
NO: 25CMUD01035

[TENTATIVE] ORDER RE: MOTION FOR ATTORNEY
FEES

DATE: July 20, 2026

TIME: 8:30 A.M.

DEPT.: E

Moving Party: Defendant
Flor Antonio and Gloria Angelica Urizar

Responding Party: Plaintiff
Business Purpose Funding

Notice: Ok

Tentative Ruling: Defendant’s
Motion for Attorney Fees is GRANTED in the reduced amount of $26,000.00.

I.
BACKGROUND

This is an
unlawful detainer action. Plaintiff Business Purpose Funding, Inc. alleges that

it owns the real property located at 153 East 102nd Street, Los Angeles, CA 90003 (“the Subject Property”) and that on or about June 1, 2016 Defendants Flor Antonio (“Antonio”), Gloria Angelica Urizar (“Urizar”) and Ignacio Sanchez (“Sanchez”)[1] entered into a written monthly lease agreement to rent the Subject Property for $1,200 per month. Plaintiff alleges Defendants failed to pay the monthly rental amount due, were served a 3-day Notice to Pay Rent or Quit, and failed to pay the amounts due in the specified time period.

On August 7, 2025, Plaintiff Business Purpose Funding Inc (“Plaintiff”) filed its unlawful detainer complaint against Defendants and Does 1 to 10 seeking possession of the Subject Property, past due rent, attorney fees, forfeiture of the agreement, and holdover damages.

On September 23, 2025, Antonio and Urizar filed an Answer. Among various affirmative defenses asserted, Antiono and Urizar asserted that “Plaintiff failed to comply with CCP § 1962” (the “Tenth Affirmative Defense”) and that “[t]he lease and/or rental agreement on which this action is based is illegal and/or unenforceable as contrary to public policy” (the “Sixteenth Affirmative Defense”). (See Answer – Unlawful Detainer, filed 9/23/25, pp. 4-5.)

Trial was held on February 11, 2026. At the conclusion of trial, the Court ordered judgment entered in favor of Defendants Antonio and Urizar, holding that they had prevailed on their Sixteenth Affirmative Defense. (See Minute Order, 2/11/26, p. 2 (“Because the evidence presented established that Plaintiff had not complied with Civil Code 1962, the Court orders judgment for Defendant Flor Antonio and Defendant Gloria Angelica Urizar against Plaintiff Business Purpose Funding Inc. . . .”).)

On February 11, 2026, the Clerk of the Court entered a default judgment in favor of Plaintiff and against Sanchez for past rent due in the amount of $12,500.00 and holdover damages of $7,760.00 for a total of $20,260.00. (See Judgment, 2/11/26.) On the same date, the Clerk of the Court entered judgment for Urizar and Antonio and against Plaintiff. (Id.)

On March 16, 2026, Defendants filed the instant Motion for Attorney Fees.

On June 25, 2026, Plaintiff filed an Opposition.[2]

On June 29, 2026, Defendants filed a Reply.

On July 1, 2026, the date of the initial hearing on Defendants' motion, the Court continued the hearing to July 20, 2026 and allowed Defendants to file a Supplemental Reply by July 6, 2026. (See Minute Order, 7/1/26.)

On July 6, 2026, Defendants filed their Supplemental Reply.

On July 8, 2026, Plaintiff filed a "Supplemental Opposition to Second Reply re: Motion for Reasonable Attorney's Fees."[3]

II. ANALYSIS

A. Legal Standard

Pursuant to Civil Code § 1717, "[i]n any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney's fees in addition to other costs." (Civ. Code § 1717(a); see also Exxess Electronixx v. Heger Realty Corp. (1998) 64 Cal.App.4th 698, 706 ("If a cause of action is 'on a contract,' and the contract provides that the prevailing party shall recover attorneys' fees incurred to enforce the contract, then attorneys' fees must be awarded on the contract claim in accordance with Civil Code section 1717.").) "Reasonable attorney's fees shall be fixed by the court, and shall be an element of the costs of suit." (Civ. Code § 1717(a).)¿

B. Discussion

Antonio and Urizar move pursuant to Civil Code § 1717 to recover attorney fees in the total amount of $29,750.00[4], contending that they are the prevailing parties in this action because Plaintiff failed to obtain possession of the Subject Property and the rental agreement upon which the action is premised contains an attorney fees clause.

Plaintiff opposes, arguing that the Subject Property was purchased at a foreclosure sale and as such the lease is unenforceable. Plaintiff also argues that, after initially refusing to produce a copy of the lease, Defendants asserted in their Answer under penalty of perjury that the lease in question was "illegal and/or unenforceable" and since no valid lease exists, no attorney fees may be awarded. Finally, Plaintiff contends that the fees sought are unreasonable.

1.

Whether The Lease Is Extinguished Due to Foreclosure

Citing Dover Mobile Estates v. Fiber Form Prods. (1990) 220 Cal.App.3d 1494 ("Dover"), Plaintiff contends that pursuant to California law a lease agreement produced after a property is purchased at a foreclosure sale is generally not enforceable. (See Dover, supra, 220 Cal.App.3d at pp. 1498-499 ("If the sale of the landlord's interest is forced by one having a paramount title to that of the tenant, such as a mortgagee whose interest existed at the time the lease was made, the tenant's interest will be defeated by the sale").) And Plaintiff presents the declaration of Robert Box ("Box"), Plaintiff's principal, who attests that Plaintiff attained ownership of the Subject Property via a foreclosure sale. (Box Decl., ¶ 3.)

In reply, Defendants contend that their lease agreement was formed prior to the foreclosure sale and is thus excepted from the general rule of extinguishment pursuant to Code of Civil Procedure § 1161b(b)("[T]enants or subtenants holding possession of a rental housing unit under a fixed-term residential lease entered into before transfer of title at the foreclosure sale shall have the right to possession until the end of the lease term, and all rights and obligations under the lease shall survive foreclosure . . .").) Defendants argue that their lease was entered into on June 1, 2013, prior to the foreclosure sale on June 28, 2021. Defendants further argue that an award of attorney fees is authorized because this matter was prosecuted as an unlawful detainer for failure to pay rent, not as a post-foreclosure unlawful detainer pursuant to Code of Civil Procedure § 1161b.

Where the new owner of a property purchased through foreclosure seeks to evict a tenant in possession, the new owner may proceed with an unlawful detainer pursuant to Code of Civil Procedure §§ 1161a and 1161b. (See Code Civ. Proc. §§ 1161a, 1161b (Setting forth the procedure for tenants in possession after a foreclosure sale).) Where a landlord seeks to evict a tenant for failure to pay rent, the landlord may proceed with an unlawful detainer pursuant to Code of Civil Procedure § 1161 (See Code Civ. Proc. § 1161 (Setting forth procedure for eviction pursuant to a 3-day Notice to Pay or Quit).) Plaintiff's Complaint alleges a rental agreement with Defendants for the amount of $1,200 per month, failure to pay rent, and failure to comply after a 3-day notice was served. (See, generally, Complaint.) Not only that, but Plaintiff's Complaint also alleges that it is "solely for the nonpayment of rent (Code Civ. Proc., § 1161(2))," states on the first page "NOTE: Do not use this form for evictions after sale (Code Civ. Proc., § 1161a)," and seeks past due rent, holdover damages and "reasonable attorney fees" as remedies. (Complaint, filed 8/7/25, pp. 1-4.)
As Defendants correctly contend, it is undoubtedly clear that Plaintiff brought their Complaint pursuant to Code of Civil Procedure § 1161 as landlords alleging failure to pay rent rather than pursuant to Code of Civil Procedure § 1161a as a new owner seeking to evict after a foreclosure sale.

While the form of Plaintiff's Complaint does not operate to change the fact that Plaintiff acquired the Subject Property after a foreclosure sale, it does operate to preclude Plaintiff from first attempting to enforce the lease via the instant unlawful detainer and subsequently declaring that the lease is extinguished when faced with the prospect of an award of attorney fees in Defendants' favor; Plaintiff cannot seek to enforce the lease agreement and its contractual attorney fee provision only to later declare it extinguished.
(See International Billing Servs., Inc. v. Emigh (2000) 84 Cal.App.4th 1175 ("Emigh")(Party who attached a contract to their complaint, prays for attorney fees in their pleadings, and argues for fees in their trial briefs is estopped from subsequently denying that the contract contains an enforceable attorney fees clause to avoid paying the prevailing opponent); see also Jogani v. Jogani (2006) 141 Cal.App.4th 158.)

Furthermore, as Defendants correctly point out in reply, "a prevailing defendant sued for breach of contract containing an attorney's fee provision and having had to defend the contract cause of action is entitled to recover its own attorney's fees and costs therefor, even though the trial court finds no contract existed." (Jones v. Drain (1983) 149 Cal.App.3d 484, 490.)

The dispositive test is reciprocity: the prevailing party is entitled to recover its attorney fees under Civil Code § 1717 if the losing party would have been entitled to recover attorney fees under the contract had the losing party prevailed in enforcing the agreement. (Eden Township Healthcare Dist. v. Eden Medical Center (2013) 220 Cal.App.4th 418 ("Eden"); Hsu v. Abbara (1995) 9 Cal.4th 863 ("Hsu"); Milman v. Shukhat (1994) 22 Cal.App.4th 538 ("Milman").) This rule prevents a plaintiff from using the threat of fees as a club during litigation and then attempting to deny the validity of the contract or its fee provision to escape liability after losing. (See Emigh, supra, 84 Cal.App.4th at pp. 1191-1192.)

In accordance with the above, the Court does not find that Defendants are precluded from seeking an award of attorney fees due to the fact that Plaintiff obtained the Subject Property via foreclosure sale.

2. Defendants' Contentions as to the Enforceability and Legality of the Lease

Next, Plaintiff contends that Defendant cannot recover their attorney fees because Defendants "admitted in their answer that the Lease was invalid and unenforceable" argues that "attorney's fees cannot be awarded under an invalid and unenforceable agreement." (Opp., p. 4:11-14.)

As Defendants correctly point out in reply, an affirmative defense is not a binding admission. (See Park City Servs., Inc. v. Ford Motor Co. (2006) 144 Cal.App.4th 295, 309 ("[I]t is well settled in California that a defendant may plead as many inconsistent defenses in an answer as she may desire and that such defenses may not be considered as admissions against interest in the action in which the answer was filed")(cleaned up and internal quotations omitted)(quoting Kerr Land & Timber Co v. Emmerson (1965) 233 Cal.App.2d 200, 228.)

Furthermore, the primary purpose of Civil

Code § 1717 is to establish and ensure mutuality of remedy for contractual attorney fee claims. (Eden, supra, 220 Cal.App.4th 418; Hsu, supra, 9 Cal.4th 863; Milman, supra, 22 Cal. App. 4th 538.) To effectuate this purpose, the California Supreme Court has established that a prevailing party is entitled to attorney fees pursuant to Civ Code § 1717, even if they defeat the contract claim by proving the contract is inapplicable, invalid, unenforceable, or nonexistent. (Hsu, supra, 9 Cal.4th at p. 870 ("It is now settled that a party is entitled to attorney fees under section 1717 (internal quotations omitted); see also Douglas E. Barnhart, Inc. v. CMC Fabricators, Inc. (2012) 211 Cal.App.4th 230.) To defeat a contract claim by proving that the contract is inapplicable, invalid, unenforceable or nonexistent would, in most cases, require an affirmative defense such as is asserted here, yet the Supreme Court has held that the prevailing party asserting such an affirmative defense remains entitled to an award of attorney fees.

The Court does not find that Defendants' affirmative defense denying the legality or enforceability of the lease operates to preclude an award of attorney fees.

3.
Defendants' Requested Attorneys' Fees

Defendants' requested attorney fees consist of a total of 38 billable hours billed by Defendants' attorney Brian Castorina at the rate of $700/hr for a grand total of $26,000.00.[5] (Castorina Decl., ¶¶ 10-13, Exh. 2.)

i.
Defendants are the Prevailing Parties

Civil Code § 1717 provides that in any action on a contract containing an attorney fee provision, "the party who is determined to be the party prevailing on the contract . . . shall be entitled to reasonable attorney's fees in addition to other costs." (Code Civ. Proc. § 1717(a).)

Here, Defendants are the prevailing parties. As is noted above, Defendants were sued pursuant to a lease agreement and asserted as their Tenth Affirmative

Defense that “Plaintiff failed to comply with CCP § 1962.” (See Answer, filed 9/23/25.) Defendants prevailed on their Tenth Affirmative Defense, with the Court ordering judgment entered in their favor. (See Minute Order, 2/11/26; see also Judgment, 2/11/26.)

Accordingly, and in the absence of any argument to the contrary by Plaintiff, the Court determines Defendants to be the prevailing parties entitled to an award of attorney fees.

ii.
Reasonableness of Castorina’s Hourly Rate

Castorina attests that his hourly rate of $700/hr is reasonable given his decades of experience and his extensive experience and skill litigating unlawful detainer matters, including trying over 100 unlawful detainer jury trials to verdict and successfully prosecuting various unlawful detainer appeals. (Castorina Decl., ¶¶ 4-8.)

Plaintiff does not contest the reasonableness of Castorina’s hourly rate, instead focusing its argument on the reasonableness of the hours spent. Upon review of Castorina’s declaration, the Court concludes that Castorina’s hourly rate is reasonable based on the prevailing rates in the Greater Los Angeles area for an attorney with similar background, training, skill and experience.

iii.
Reasonableness of Castorina’s Billed Hours

The prevailing party has the burden of showing that the requested attorney fees were “reasonably necessary to the conduct of the litigation, and were reasonable in amount.” (Robertson v. Fleetwood Travel Trailers of California Inc.¿(2006) 144 Cal.App.4th 785, 817.) The party seeking attorney fees “‘is not necessarily entitled to compensation for the value of attorney services according to [his] own notion or to the full extent claimed by [him].’” (Levy v. Toyota Motor Sales, USA, Inc.¿(1992) 4 Cal.App.4th 807, 816.)¿¿Therefore, if the “time expended or the monetary charge being made for the time expended are not reasonable under all the circumstances, then the court must take this into account and award attorney fees in a lesser amount.”

(Nightingale v. Hyundai Motor America¿(1994) 31 Cal.App.4th 99, 104.)¿¿

A court may “reduce a fee award based on its reasonable determination that a routine, noncomplex case was overstaffed to a degree that significant inefficiencies and inflated fees resulted.”¿¿(Morris v. Hyundai Motor America¿(2019) 41 Cal.App.5th 24, 39.)¿¿It is also appropriate to reduce an award based on inefficient or duplicative efforts. (Id.¿at p. 38.) However, the analysis must be “reasonably specific” and cannot rely on general notions of fairness. (Kerkeles¿v. City of San Jose¿(2015) 243 Cal.App.4th 88,¿102.)¿¿Moreover, in conducting the analysis, courts are not permitted to tie any reductions in the fee award to some proportion of the buyer’s damages recovery. (Warren v. Kia Motors America, Inc.¿(2018) 30 Cal.App.5th 24, 39.)

The billing records attached to Castorina’s declaration “are entitled to credence in the absence of a clear indication the records are erroneous.” (Horsford v. Board of Trustees of California State University (2005) 132 Cal.App.4th 359, 396.) Accordingly, the burden shifts to Plaintiff to present specific objections to particular time entries by providing specific evidence necessary to challenge the accuracy and reasonableness of the hours charged. (Premier Medical Management Systems, Inc. v. California Ins. Guarantee Assn. (2008) 163 Cal.App.4th 550, 563-564 (“Premier”)(“In challenging attorney fees as excessive because too many hours of work are claimed, it is the burden of the challenging party to point to the specific items challenged, with a sufficient argument and citations to the evidence. General arguments that fees claimed are excessive, duplicative, or unrelated do not suffice”).)

Plaintiff argues that Castorina’s time spent litigating this case “is unreasonable, especially since Counsel claims to have over 20 years of unlawful detainer litigation experience and even asserts to have published case.” (Opp., p. 4:23-25.) Aside from: (1) a claimed 1.6 hours researching Civil Code § 1962; (2) 1.7 hours researching “whether or not [Defendants] had to stipulate to a commissioner;” (3) 2.6 hours attempting to appear telephonically for a trial on December 12, 2025; (4) a total of 4.2 hours preparing the clients for trial; and (5) a total of 4.2 hours drafting the instant motion, Plaintiff does not specifically contest any other attorney fees. (See Id., pp. 4:22 – 5:6.) As Plaintiff has only specifically addressed and contested the previously noted entries, the Court only addresses those specific entries. Plaintiff's general argument that the time billed is unwarranted because of the nature of this matter does not suffice to meet Plaintiff's burden to point to the specific items challenged with sufficient argument and citations to the evidence. (See Premier, supra, 163 Cal.App.4th at pp. 563-564.)

(1) 1.6 hours researching Civil Code § 1962

Plaintiff contests the claimed 1.6 hours researching Civil Code § 1962, arguing that amount of time is unreasonable given Castorina's claimed unlawful detainer knowledge and experience. In reply, Defendants argue the time was reasonable as the time was spent reviewing the law to assess the viability of a Civil Code § 1962 affirmative defense but ultimately agree to reduce the time by 50% to .8 hours. The Court finds Defendants' reduced time (.8 hours at $700/hr) reasonable for the assessment of the applicability of Civil Code § 1962 to the facts in this matter and therefore finds no need for any further reduction.

(2) 1.7 Hours re: Commissioner Research

Plaintiff generally contends that Castorina's 1.7 hours spent "researching whether or not he had to stipulate to a commissioner" is unreasonable. (Opp., p. 4:26-27.) In reply, Defendants argue that Plaintiff's characterization of the time entry is incorrect and the research time was warranted given a "nuanced argument advanced by a commissioner that Defendant's filing of a Request for Additional Fee Waiver for jury fees that was review and ruled on by that commissioner constituted an implied stipulation to that commissioner for all purposes." (Reply, filed 6/29/26, p. 4:11-15.) The Court does not find this time unreasonable given the explanation as to what was being researched.

(3) 2.6 Hours Attempting to Appear Telephonically on December 15, 2025

Plaintiff again generally argues that this time entry is not reasonable. In reply, Defendants agree to a 1.6-hour reduction, making the requested time only one hour. (See Id., p. 4:16-17.) Given the sometimes mercurial nature of the Court's remote appearance system and given that the Court's December 15, 2025 Minute Order in this matter specifically notes that "Counsel for Defendant calls Department E staff but is unable to login to LA Court Connect for the hearing" (see Minute Order, 12/15/25), the Court does not find one hour attempting to connect to be unreasonable.

(4) 4.2 Hours for Client Trial Preparation

Plaintiff again generally contends that 4.2 hours preparing a client for trial (broken down as 3.2 hours on February 9, 2026 and an additional hour on February 11, 2026) is unreasonable. In reply, Defendants argue that the time was spent preparing two clients, neither of whom spoke English and neither of whom had testified at trial before (and thus "were extremely nervous"). The Court does not find the trial preparation time unreasonable.

(5) 4.2 Hours Drafting the Instant Motion

Plaintiff contends that 4.2 hours spent drafting the instant motion "that is clearly a template, as evidence[d] by the moving papers" is unreasonable. (Opp., p. 5:3-6.) But Plaintiff provides no explanation or reference as to how the instant motion is "clearly a template as evidenced by the moving papers" other than just asserting so. In reply, Defendants agree to a 50% reduction in the time billed, for a revised billable hour request of 2.1 hours at $700/hr. The Court does not find 2.1 hours unreasonable.

Having undertaken a detailed review of both Castorina's time records and Plaintiff's specified objections, the Court does not find the majority of the time expended to be unreasonable given the nature of the proceedings and the course of the litigation. Where the Court might have taken issue with certain of the contested time entries, Defendants agreed in their Reply to reduce the hours spent thereby alleviating the Court's potential concerns. With the reduced time entries, the Court finds Defendants time billed reasonable as a whole.

III. CONCLUSION

Antonio and Urizar's Motion for Attorney Fees is GRANTED in the reduced amount of $26,000.00. The awarded fees are to be paid to Defendants' counsel no later than August 21, 2026.

[1] Antonio, Urizar and Sanchez are collectively referred to herein as the “Defendants.”

[2] Plaintiff’s Opposition is untimely. Pursuant to Code of Civil Procedure § 1005(b), all papers opposing a noticed motion must be filed with the court and served on all other parties “at least nine court days … before the hearing” and all reply papers at least five court days before the hearing. (Code Civ. Proc. § 1005(b).) The Court exercises its discretion to consider Plaintiff’s late filing.

[3] Plaintiff’s July 8, 2026 filing was not authorized by the Court and is not made in accordance with the Code of Civil Procedure. Defendants were granted leave to file a Supplemental Reply because Plaintiff’s (initial) Opposition was untimely, yet the Court exercised its discretion to consider it (see fn. 2). Plaintiff’s late filing denied Defendants their statutory time to review and respond to Plaintiff’s Opposition and, given the untimely Opposition and the resulting late filing of the Reply, the Court did not see or review Defendants’ initial Reply prior to the first hearing on July 1, 2026. Accordingly, the Court allowed a Supplemental Reply. At no point was Plaintiff authorized to file any further documents, and the Court exercises its discretion to not consider Plaintiff’s unauthorized filing. (See Code Civ. Proc. § 1005(b); see also Cal. R. Ct., Rule 3.1300(d); Mackey v. Bd. of Trustees of California State Univ. (2019) 31 Cal.App.5th 640, 657.)

[4] Defendants later reduced their request to $26,600. (See Reply, filed 6/29/26, pp. 3:4 – 5:4.)

[5] Defendants initial request was for $29,750 for 42.5 billable hours. In their Reply, Defendants reduced their claimed fees by 4.5 hrs, resulting in a request for 38 billable hours. (See Reply, filed 6/29/26, pp. 3:4 – 5:4.)